Report To Shareholders
Management's Discussion and Analysis

The third quarter financial results for Canada Bread reflect volume increases in both our fresh and frozen par-baked operations. This solid performance was partially offset by a labour dispute at a Quebec distribution centre which was resolved during the quarter.

Sales for the quarter increased 19% to $324.0 million from $272.6 million for the prior year period, while sales for the first nine months increased 25% to $945.5 million compared to $759.4 million for the prior year. The increase in sales was primarily due to the acquisition of Maple Leaf Bakery assets in the U.S. and the U.K. as well as increased fresh bread business. Before accounting for acquisitions, sales for the quarter decreased by 4% (a 3% decrease year-to-date). Volume increased in both the fresh and frozen businesses in the third quarter but the weakening U.S. dollar reduced the value of sales in the United States.

Earnings from operations decreased 13% to $16.7 million from $19.2 million last year. The decline in earnings was entirely due to the costs of a strike at one of the Company's distribution centres in Quebec, which was settled in early September. Excluding the effects of the strike, earnings for the quarter would have reflected an increase of 12% from last year. Year-to-date earnings from operations, not including a $7.4 million pre-tax charge in the first quarter related to a plant closure, decreased 1% to $46.2 million from $46.8 million last year. Excluding the effect of the strike costs, year-to-date operating earnings before unusual items increased by 15%.

The Company continued to grow sales and volume in the commercial fresh bread market, driven by its focus on value-added products and strong brands. Fresh sales to the U.S. increased in the quarter, as did sales in the Quebec and Ontario markets. Strong market share growth continued, driven by sales of *Dempster's Stays Fresh to the Last Slice*.

The Frozen Bakery operations secured new in-store bakery business in both the United States and Canada, as well as several new food service contracts. Grace Baking has extended sales of its partially baked artisan bread products into Canada and through new U.S. national retail accounts. While flour costs have moderated somewhat, other factors such as energy, packaging materials and labour costs have increased compared to the same period last year.

Interest expense for the third quarter increased to $1.8 million from $0.6 million for the prior year period, due to higher debt levels arising from the acquisition of the Maple Leaf Foods bakery assets in the United States and the United Kingdom late in 2002.

Net earnings for the third quarter were $11.3 million ($0.44 per share), compared to $11.9 million ($0.55 per share) last year, reflecting the lower operating earnings and higher interest expenses, and the effect of the issuance in the first quarter of four million shares from treasury. Net earnings for the first nine months were $23.8 million ($0.94 per share) compared with $28.3 million ($1.32 per share) last year. After adjusting for the restructuring charge in first quarter, and the effect of the strike costs in Quebec, third quarter earnings per share of $0.57 ($1.33 year-to-date) compared to $0.55 last year ($1.32 year-to-date).

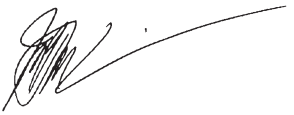
During the quarter, the Company acquired the assets of a waffle manufacturer located in Toronto for $5.6 million.

The Company declared a dividend of $0.06 per share payable on January 2, 2004 to shareholders of record on December 12, 2003.

Forward-looking Statements
This document contains forward-looking statements, which are subject to risks and uncertainties that could cause actual results to differ materially from those expressed in, or implied by, these statements. Refer to the Company's annual report, management information circular, annual information form and other filings with the Ontario Securities Commission and Toronto Stock Exchange for further information on risks and uncertainties that could cause actual results to differ materially from forward-looking statements.

For the Board of Directors,

Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

October 22, 2003